

Revision Notes

Class – 7 Social Science Political Science

Chapter 8 - A Shirt In The Market

- **A cotton farmer in Kurnool**

Swapna is a small farmer who lives in Kurnool, Andhra Pradesh, and grows cotton crop on her small piece of land. It took several days in order to harvest the cotton. Once the cotton is collected, instead of selling it directly at the market, Swapna and her husband took the harvested cotton to the local trader. She asks for Rs. 2,500 from the trader as a loan with a very high interest rate in order to buy seeds, fertilisers, pesticides for more cotton cultivation. In return, the local trader offered Swapna another term that she will have to sell all her cotton to him. In the end she received only 3,000 rupees.

- **The cloth market of Erode**

Erode's is a quite popular bi-weekly cloth market in Tamil Nadu, and is considered as one of the largest cloth markets in the world. A large different type of cloth is sold in this market. Cloths are made by weavers living in the villages and are brought to the market for selling it. Cloths are made on receiving an order from the merchant. These merchants supply cloth to the garment manufacturers and exporters across the country. They purchase the yarn from the merchants and are sent further and instructions are given to the weavers about the kind of cloth that is to be made.

- **Putting-out system**

For the weavers, this type of arrangement has two advantages:

1. The weavers do not have to spend money by purchasing the yarn.
2. Weavers don't have to think about the selling of finished cloth as they work on contract basis.

Whereas there are a few disadvantages also the weavers:

1. Dependency of weavers on raw materials and markets makes merchants more powerful.
 2. Weavers are paid little less wages for making the cloth.
 3. The market works in favour of the merchants instead of weavers. This arrangement between the weavers and the merchants is an instance of a putting-out system, in which the merchant supplies the raw material to the weaver and in return receives the finished product from the weavers.
- The merchant supplies the cotton cloth to the weavers for weaving and further to a garment exporting factory or cloth factory. The garment exporting factory now uses the cloth to make shirts. These shirts are further exported to foreign buyers. Foreign buyers are generally businessmen from either US or Europe who run a chain of stores and do business strictly on their own terms as given:
 1. Demanding the lowest prices from the supplier.
 2. Set high standards for quality of production and timely delivery of the product.
 3. Any sort of defects or delay in delivery is dealt strictly.

A number of shirts are displayed at clothiers shop in the United States and of different costs.

- **Market and equality**

The foreign businessperson have made huge profits from the market. When being compared to the garment exporter who made only moderate profits. Whereas, the earnings of the workers at the garment export factory are very small and remains same and can only cover their day-to-day needs.

Being compared to the weavers, merchants or traders earned good but much less than the exporter. Therefore, everyone did not get equal profit in the market. Generally, powerful people get the maximum earnings from the market.